

difference between an asset and a liability, and to buy assets. The rich focus on their asset columns while everyone else focuses on their income statements.

That is why we hear so often: “I need a raise.” “If only I had a promotion.” “I am going to go back to school to get more training so I can get a better job.” “I am going to work overtime.” “Maybe I can get a second job.” “I’m quitting in two weeks. I found a job that pays more.”

In some circles, these are sensible ideas. Yet, if you listen to Ray Kroc, you are still not minding your own business. These ideas all still focus on the income column and will only help a person become more financially secure if the additional money is used to purchase income-generating assets.

The primary reason the majority of the poor and middle class are fiscally conservative-which means. “I can’t afford to take risks”-is that they have no financial foundation. They have to cling to their jobs. They have to play it safe.

When downsizing became the “in” thing to do, millions of workers found out their largest so-called asset, their home, was eating them alive. Their asset, called a house, still cost them money every month. Their car, another “asset,” was eating them alive. The golf clubs in the garage that cost \$1,000 were not worth \$1,000 anymore. Without job security, they had nothing to fall back on. What they thought were assets could not help them survive in a time of financial crisis.

I assume most of us have filled out a credit application for a banker to buy a house or to buy a car. It is always interesting to look at the “net worth” section. It is interesting because of what accepted banking and accounting practices allow a person to count as assets.

One day, to get a loan, my financial position did not look too good. So I added my new golf clubs, my art collection, books, stereo, television, Armani suits, wristwatches, shoes and other personal effects to boost the number in the asset column.

But I was turned down for the loan because I had too much investment real estate. The loan committee did not like that I made so much money off of apartment houses. They wanted to know why I did not have a normal job, with a salary. They did not question the Armani suits, golf clubs or art collection. Life is sometimes tough when you do not fit the “standard” profile.

I cringe every time I hear someone say to me that their net worth is a million dollars or \$100,000 dollars or whatever. One of the main reasons net worth is not accurate is simply because the moment you begin selling your assets, you are taxed for any gains.

So many people have put themselves in deep financial trouble when